

ETHIOPIA

Table 1 **2020**

Population, million	115.0
GDP, current US\$ billion	110.2
GDP per capita, current US\$	958.3
International poverty rate (\$ 19) ^a	30.8
Lower middle-income poverty rate (\$ 3.2) ^a	68.9
Upper middle-income poverty rate (\$ 5.5) ^a	90.2
Gini index ^a	35.0
School enrollment, primary (% gross) ^b	1010
Life expectancy at birth, years ^b	66.6
Total GHG Emissions (mtCO2e)	211.1

Source: WDI, Macro Poverty Outlook, and official data.

(a) Most recent value (2015), 2011 PPPs.

(b) WDI for School enrollment (2015); Life expectancy (2019).

While data confirms the recovery of exports and foreign direct investment, a significant reduction in agriculture production growth and stagnant electricity and cement production suggest growth was sluggish in FY21. According to phone surveys, poverty had increased by December 2020. Inflation surged in June and July 2021, and the authorities have responded by halting money creation and freezing bank loan disbursements. Prospects for economic rebound in FY22 and beyond may be jeopardized by escalation in the ongoing armed conflict.

Key conditions and challenges

Ethiopia has been among the fastest growing countries in the world, with GDP expanding at an average rate of 10 percent during 2004-2020. Growth has been driven by large-scale public investment in infrastructure. While poverty declined by about 10 percentage points during 2004-2016, gains are modest when compared to other countries that saw fast growth, and inequality has increased in recent years.

The limitations of the state-led development model in Ethiopia have become apparent. Structural transformation remains incipient, and the role of the private sector is constrained by SOE dominance and an uneven playing field. The financing of the large capital investments coupled with a loss in competitiveness, caused by an overvalued exchange rate, have put the country at high risk of debt distress. Acknowledging these shortcomings, the authorities launched a Homegrown Economic Reform Agenda in September 2019, aiming to foster efficiency and introduce competition in key growth-enabling sectors (energy, logistics, telecom), improve the business climate, and address macroeconomic imbalances. Among other measures, authorities are expected to adopt a market-determined exchange rate and introduce a modern monetary policy framework by end-2022.

Downside risks loom large over the outlook presented below. The armed confrontation

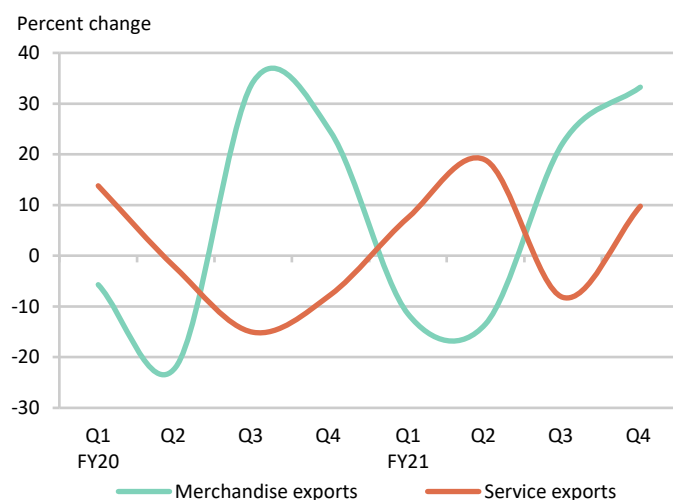
that started in November 2020, initially confined to Tigray, has spread to other regions, and there are risks that further escalation would affect agriculture production, food security, and growth. There are also risks that macroeconomic stability is harmed and economic reforms are delayed or reversed.

Recent developments

Agriculture is estimated to have slowed down, with crop production growth easing to below 2 percent during the main harvest season (fall 2020), compared to 6.2 percent in the same period of the previous year. Electricity generation and cement production stagnated in FY21.

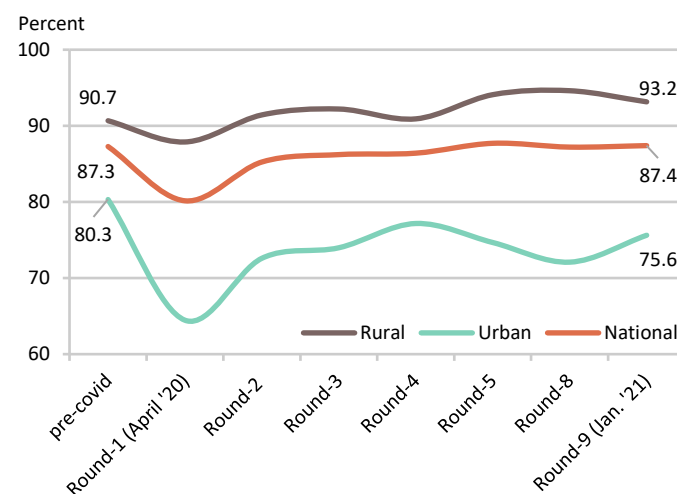
After being harshly hit by the pandemic, most external sector variables rebounded in FY21. Merchandise exports grew at 21.1 percent, boosted by a surge in gold trade. Growth in coffee exports reached 6.3 percent, supported by international prices, and cut flower exports recovered. However, garment and leather exports contracted. Exports of services grew by 3.1 percent despite transport growth, which includes Ethiopian Airlines activities, was negative (-4.4 percent). Net private transfers, including remittances, recovered strongly (22.3 percent). Robust export and remittances performance coupled with contained imports growth resulted in the current account deficit narrowing further in FY21. Net foreign direct investment inflows reached nearly US\$ 4 billion in FY21, a 64 percent increase, lifted by the

FIGURE 1 Ethiopia / Export recovery, quarter-on quarter growth



Source: National Bank of Ethiopia.

FIGURE 2 Ethiopia / Share of respondents who worked in the preceding seven days



Sources: WB household surveys on Covid-19 impacts.

award of a new commercial license in the telecom sector to a consortium led by Kenya's Safaricom.

Despite recovery domestic direct and indirect revenue in FY21, revenue collection remained at about 10.5 percent of GDP (similar to FY20), as there was a significant drop in foreign trade tax revenue. On the expenditure side, increases in recurrent expenses are expected to be compensated by some decline in capital spending, with the overall balance estimated to reach 3 percent of GDP in FY21.

Inflation keeps increasing, and reached 30.4 percent in August, driven by rising food prices. Authorities pressed the breaks on base money growth in June, bringing it to just 7.2 percent in FY21, following double-digit-growth for most of the year. Broad money growth is estimated to have remained strong, reaching nearly 30 percent in FY21, but the recent central bank order to freeze bank loan disbursements is expected to cool that trend off. The parallel market premium surged to over 50 percent in early August, driven by uncertainty, prior to declining back to below 30 percent.

While jobs have been recovering after a drop at the onset of the pandemic, the urban employment rate in January 2021 remained lower relative to pre-COVID-19 time. This, coupled with the slow agricultural growth, is expected to have led to a rise in poverty. Indeed, estimates based on the high-frequency phone survey suggest that by December 2020 poverty had increased compared to 2019, particularly in urban areas.

Outlook

While strong lending trends are likely to have supported some growth in industry and services, the slowdown in agriculture and the poor performance of electricity generation and cement production suggest economic activity slowed down overall in FY21; the projected growth rate for the year remains like that of the spring release of the Macro-Poverty Outlook. Meanwhile, the expected recovery in growth in FY22 and FY23 has been revised downwards, as the spread of the armed

conflict since June is likely to affect economic activity in several areas and could disrupt key trade corridors. This outlook assumes that the planned macroeconomic and structural reforms are implemented, supporting a recovery in foreign direct investment, exports, and economic growth, as well as a decline in inflation in FY23 and beyond. As stated above, however, there are considerable downside risks.

While employment and income levels have been recovering since the huge drop at the beginning of the pandemic, vulnerability is expected to increase significantly for the following reasons. First, the impact on employment and income was worse on households who were less advantaged to begin with; second, despite the increase in employment since early times of the pandemic, recovery in wage employment has been slow and as a result more people become dependent on informal jobs such as self-employment, casual employment and family work; and third, the ongoing armed conflict which started in Tigray and recently expanded to other parts of the country is already disrupting the livelihoods of many and there is also a risk of famine.

TABLE 2 Ethiopia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2017/18	2018/19	2019/20	2020/21 e	2021/22 f	2022/23 f
Real GDP growth, at constant market prices	7.7	9.0	6.1	2.4	4.3	6.5
Private Consumption	5.3	5.1	5.0	2.5	3.8	5.1
Government Consumption	3.6	7.2	0.6	8.1	13.9	9.9
Gross Fixed Capital Investment	6.8	15.1	5.6	-0.1	2.0	6.8
Exports, Goods and Services	5.0	3.0	3.4	5.5	6.2	8.4
Imports, Goods and Services	0.2	5.4	-1.9	2.0	4.8	5.9
Real GDP growth, at constant factor prices	7.7	9.0	6.1	2.4	4.3	6.5
Agriculture	3.5	3.8	4.3	1.8	2.5	4.0
Industry	12.2	11.5	9.6	2.7	6.5	11.0
Services	8.7	12.0	5.2	2.7	4.2	5.3
Inflation (Consumer Price Index)	14.5	12.5	19.9	20.2	21.9	10.8
Current Account Balance (% of GDP)	-6.0	-5.1	-4.1	-2.5	-3.3	-3.8
Fiscal Balance (% of GDP)	-2.8	-2.5	-2.8	-3.0	-2.6	-2.0
Debt (% of GDP)	60.8	57.3	56.5	57.6	55.0	51.2
Primary Balance (% of GDP)	-2.3	-2.0	-2.4	-2.3	-2.0	-1.4
International poverty rate (\$1.9 in 2011 PPP)^{a,b}	27.6	26.5	25.9	25.9	25.6	25.0
Lower middle-income poverty rate (\$3.2 in 2011 PPP)^{a,b}	65.6	64.4	63.7	63.8	63.4	62.7
Upper middle-income poverty rate (\$5.5 in 2011 PPP)^{a,b}	85.8	84.2	83.4	83.4	83.0	82.0
GHG emissions growth (mtCO₂e)	0.6	1.7	1.5	0.9	1.2	3.4
Energy related GHG emissions (% of total)	24.9	24.9	24.0	22.7	21.5	22.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

(a) Actual data: 2015. Nowcast: 2016-2020. Forecast are from 2021 to 2023.

(b) Projection using point to point elasticity at regional level with pass-through = 0.87 based on GDP per capita in constant LCU.